



Full length article

Short-term rental bans and the hotel industry: Evidence from New York city

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ABSTRACT

We examine the gains and involvement of the hotel industry in New York City's short-term rental ban. Building on capture theory, we document that the hotel industry was better positioned to overcome collective action problems associated with lobbying and spent an order of magnitude more than home-sharing platforms like Airbnb in political contributions, particularly prior to the ban. We find that hotels' average daily rates increased by \$14 to 19 per night, depending on specification, and revenue increased by roughly \$2.1 to 2.9 billion over the first eighteen months following the ban. By contrast, the effect on room nights is small and imprecisely estimated, so the revenue increase was mostly due to the increase in room rates.

1. Introduction

Advancements in technology have led new firms to disrupt large industries: Uber disrupted the taxi industry, Netflix disrupted the DVD rental industry, music streaming services disrupted the record industry, and Airbnb disrupted the hotel industry. Some disruptors become heavily regulated or banned, while others face little opposition. Why is this so? What gives rise to regulations targeting disruptors? One possibility is that certain disruptive firms impose external costs while others do not. Regulation might originate to correct such perceived market failures, as traditionally argued (Pigou, 1938). Stigler (1971) famously challenges this notion and suggests another possibility. Rather than simply serving the public interest, regulations may be captured by specific industries for their benefit. This premise is the foundation of what became known as capture theory (Peltzman, 2022). While they are not mutually exclusive, the relative importance of these two motives remains an open question.

As Airbnb and the short-term rental market have grown, there have been many attempts to regulate the industry. For example, Chicago imposed a 4% surtax plus hotel occupancy taxes on short-term rentals and made it legal for condo and apartment buildings to prohibit such rental units (Boehm, 2017). San Francisco imposed caps on the number of days a unit could be rented out in a year (Boehm, 2017). Many cities in Los Angeles County have instituted Home Sharing Ordinances that effectively ban short-term rentals (Koster et al., 2021).

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None of these regulations has been as onerous as New York City's (NYC) *de facto* short-term rental ban. On January 9, 2022, New York City enacted Local Law 18 (LL18). Prior to the enactment of LL18, also known as the Short-Term Rental Registration Act, NYC claimed that existing regulations prohibited short-term rentals for fewer than 30 days unless the host was present and guests were given ready access to the entirety of the premises. Furthermore, the number of guests was capped at two. These regulations, however, lacked enforcement. City officials claimed approximately 10,800 of Airbnb's listings in March 2023 were "illegal short-term rentals" (Zaveri, 2023). LL18 aimed to address the lack of enforcement. Under the new rules, short-term rental hosts had to register with the Mayor's Office of Special Enforcement by September 5, 2023. Platforms such as Airbnb were prohibited from processing transactions for unregistered hosts. Violations could result in fines of up to \$5000 for hosts and \$1500 for platforms. As of August 28, 2023, only 257 registrations had been approved out of roughly 3250 applications (Zaveri, 2023). Data from Inside Airbnb indicate that the number of short-term rental listings fell from 22,000 in August 2023 to just 6841 by September 5, 2023 (Hoover, 2023). Many Airbnb units have switched to long-term—over 30-day—rentals (Hoover, 2023) and are less likely to compete with hotels. Airbnb has characterized the regulations as a *de facto* ban (Zaveri, 2023). This ban is currently being used as a model for short-term rental regulation in many other cities (Jelski, 2024).¹

Using the case study of New York City's *de facto* short-term rental ban, we examine the relative importance of rent-seeking motives in the passage of regulation against this disruptive new industry. Demand for short-term rental regulation has both public interest and rent-seeking dimensions. On the one hand, regulation is claimed to be necessary to help protect people from Airbnb and short-term rental units that do not meet the same safety and quality standards as more traditional lodging options. Additionally, Airbnb is blamed for the lack of affordable housing, with its rental units subsidizing tourists at the expense of locals (Zaveri, 2023). There is also evidence in some cities that short-term rentals may impose external costs on long-term residents via nuisance disruptions (van Holm and Monaghan, 2021) or additional crime (Lanfear and Kirk, 2024).

On the other hand, there are capture theory dimensions to such policy agendas. It is no secret that Airbnb has become one of the hotel industry's largest competitors. The hotel industry has a clear incentive to support the imposition of onerous regulations on short-term rentals. Furthermore, relative to the short-term rental industry, the hotel industry is far more compact. As of September 2023, there were 1339 hotels in New York City.² Most hotels in NYC (about 62 percent) are affiliated with national brands (New York City Department of City Planning, 2017). By contrast, in August of 2023, before the ban went into effect, there were roughly 22,000 short-term rental listings on Airbnb (Hoover, 2023). Therefore, there were over sixteen times more Airbnb hosts than hotels.³ One of the predictions of the theory of economic regulation is that more compact producer groups will be more successful at lobbying for regulation of their competition (Peltzman, 1976). Such groups will be better positioned to overcome the collective action problems associated with lobbying (Olson, 1965; Stigler, 1971; Peltzman, 2022). Additionally, the benefits of regulation in favor of more compact producer groups are concentrated, whereas the costs are dispersed, making regulatory favors more palatable to politicians (Weingast et al., 1981). Thus, it would seem that NYC's hotel industry was well-positioned to lobby for regulation.

In this paper, we provide evidence that rent-seeking is an important motive for short-term rental regulation. We do so by first describing the heavy involvement of the hotel industry in the rise of short-term rental regulations and their particular involvement with NYC's short-term rental ban. We find that total hotel lobbying in NYC in 2023 was about twenty times larger than lobbying by Airbnb and other home-sharing networks.⁴ Additionally, we find a substantial increase in hotel lobbying near the time when NYC's short-term rental ban was implemented. We then use a Synthetic Difference-in-Differences approach to examine how the short-term rental ban affected the hotel industry and report the exorbitant gains it received following the ban. Our findings are that total hotel revenue increased by roughly \$2.1 to 2.9 billion over the first eighteen months after the ban's enactment. We also find that NYC's short-term rental ban increased average daily hotel prices by approximately \$14 to 19 per night. Despite the substantial increase in prices, we find little, if any, increase in the quantity of rooms rented, probably because NYC hotels were already operating at a high level of available capacity. The lack of effects we find in room rentals suggests that the ban had little effect on the marginal costs of the hotel industry and that the substantial revenue increases accrued to the hotel industry as rents. Overall, our results are consistent with the theory of economic regulation put forth in Stigler (1971) and Peltzman (1976).

Our paper contributes to two important literatures: the economics of regulation and the study of the sharing economy, particularly short-term rentals. First, our paper extends the literature on the economics of regulation. Stigler (1971) spurred the formulation of a systematic theory of economic regulation (Posner, 1971, 1974; Peltzman, 1976) and competition for political influence (Becker, 1983; Weingast et al., 1981). As noted earlier, this theory broadens our understanding of the potential motives for regulation beyond pure public interest. Scholars have since found empirical evidence consistent with this theory (Djankov et al., 2002; Faccio, 2006). Similarly, the literature on antitrust capture (Benson et al., 1986) demonstrates how such regulation may be driven by special interests.

Others have made theoretical contributions. For example, Yandle (1983) identifies that rent-seeking efforts may be particularly effective when they can be cloaked in the rhetoric of social welfare. Yandle refers to this union of seemingly incongruous interests as "bootleggers and baptists" (Yandle, 1983, 2022). Others have noted that politicians may threaten to impose regulatory costs in

¹ According to the CEO of the American Hotel & Lodging Association (AHLA), at least 40 cities have reached out to the AHLA asking how they could replicate the "success" of New York City (Jelski, 2024).

² This information comes from STR data. STR is the leading aggregator of hotel industry data. See Section 4 for a detailed discussion of these data.

³ The very existence of the Hotel Association of New York City (HANYC)—a group that represents NYC hotels—demonstrates the hotel industry's ability to overcome collective action and organize themselves to influence legislation.

⁴ Source: New York City Campaign Finance Board (<https://www.nycctfb.info/FTMSearch/Home/FTMSearch>). Figures include contributions to all candidates and offices.

order to induce rent-seeking (McChesney, 1987, 1997; MacKenzie, 2017). This theory has important welfare implications. If policy induces excessive rent-seeking, it may channel entrepreneurial effort away from productive ends (Baumol, 1990; Sobel, 2008). To the extent that firms engage in such “unproductive entrepreneurship” to obtain special privileges, the true welfare costs of various policies may be misrepresented by traditional analysis (Lopez and Pagoulatos, 1994).

We contribute to the literature on the economics of regulation by providing empirical evidence suggesting that rent-seeking plays an important role in the success of short-term rental regulation. We both document the involvement of the hotel industry and quantify the rents that accrue to them. Furthermore, our findings lend credence to the core ideas in Yandle (1983). Hotels have adopted the rhetoric of public interest, much as Yandle’s theory would predict. They claim that such regulations are necessary to keep short-term rentals from “destroying our neighborhoods and access to affordable housing” (Gangitano, 2019).

In addition to extending the literature on regulatory provision and offering a case study for capture theory, we also contribute to the literature on the sharing economy, particularly short-term rentals.⁵ Edelman and Geradin (2015) qualitatively discusses how short-term rental platforms may affect social welfare, identifying that while they reduce transaction costs and unused capacity, they may also generate negative externalities. Numerous models have been developed to evaluate the sharing economy and its effect on resource ownership and use (Filippas et al., 2020; Benjaafar et al., 2019). The existing empirical literature on short-term rentals, mostly focused on Airbnb, has examined the potential welfare gains from Airbnb’s introduction (Zervas et al., 2017; Farronato and Fradkin, 2022), the effects of Airbnb on housing markets (García-López et al., 2020; Barron et al., 2021; Horn and Merante, 2017; Calder-Wang, 2021; Wachsmuth and Weisler, 2018), and the prevalence of discrimination in the sharing economy (Edelman et al., 2017). Relatively few papers have concentrated on the effects of regulatory changes and those that do focus exclusively on the impacts such policies had on housing markets (Duso et al., 2024; Koster et al., 2021; Gonçalves et al., 2023). To the knowledge of the authors, none examine how regulatory changes affect the hotel industry. In this paper, we contribute to the literature on the sharing economy by providing the first systematic evidence of how long-scale regulation of short-term rentals affects the hotel industry.

2. Conceptual framework

Stigler (1971) spurred economists to develop a comprehensive framework of economic regulation (Peltzman, 1976) and political influence (Becker, 1983). This framework serves as a foundation for our analysis. Rather than simply viewing regulation as existing for the public interest, this body of literature emphasizes that regulation may often originate to support incumbent industries—consistent with capture theory. Peltzman (1976) and Becker (1983), however, do not claim that public interests have no influence on the regulatory process. Becker (1983), in particular, argues that the deadweight loss generated by special favors (such as regulatory protections) motivates taxed groups to oppose regulation and conversely decreases the incentive of subsidized groups to support regulation.⁶

As framed by Peltzman (1976), Becker (1983), and Posner (1971), regulation is competition for a wealth transfer.⁷ Peltzman (1976) presents two groups: one subsidized and one taxed. In the analysis, the regulator picks the size of the subsidized group. Under this framework, the theory of regulation can be seen as a theory of the optimum size of effective political coalitions. Becker (1983), by contrast, places more emphasis on the level of influence chosen by the taxed and subsidized groups. While one might expect larger groups to always win out, both Peltzman (1976) and Becker (1983) demonstrate that more compact groups will be more successful at securing favorable regulation. This insight underlies the research we conduct in this paper.

The reasons that smaller groups tend to be more effective are twofold. First, the political process is such that regulation tends to be most effective when benefits are concentrated and costs are dispersed. Voting happens very infrequently and voters must inform themselves if they are to effectively punish politicians who do not support their interests (Peltzman, 1976). If the costs of the regulation are diffused over a sufficiently large group, then voters will not incur the costs associated with voting, leaving politicians to continue granting special favors to industry (Peltzman, 1976; Becker, 1983; Weingast et al., 1981).

Second, the costs of organizing rise as group size increases (Peltzman, 1976; Becker, 1983). Besides having more votes, one might imagine that larger groups enjoy significant economies of scale in the political process. Yet, there are checks on any such advantage that generate diminishing returns to group size. The difficulties of collective action are well-established (Olson, 1965). In order for groups to effectively pressure politicians to pass favorable regulations they must secure intra-group agreement on their demands, mobilize their vote, and collect resources to promote their cause and support the appropriate politicians. Securing intra-group agreement becomes increasingly difficult as group size increases and the interests of the individuals in the group become more numerous. Additionally, preventing free-riders becomes much more difficult. Individuals will tend to contribute less than optimal amounts of resources, time, and effort. This sort of Prisoner’s Dilemma is magnified as the group grows.

⁵ The sharing economy is a term used to refer broadly to platforms that enable peer-to-peer rental of durable goods on a limited basis (Filippas et al., 2020).

⁶ Due to these incentives, more efficient regulation possesses an advantage in the political process, *ceteris paribus*. In this sense, public interests impact the development and passage of regulation. Nonetheless, Peltzman (1976) and Becker (1983) represent a departure from the view that such public interests are the sole motivation for regulation.

⁷ Posner (1974) is critical of the pure capture theory and the pure public interest theory of regulation. Posner suggested that the above theories did not explain why some regulated industries deliberately and continuously provide services at lower rates and in larger quantities than would competitive markets, which regulations are said to approximate (Posner, 1971). Posner (1971) suggests that a form of internal subsidization must be part of a general theory of regulation. The idea is that the industry produces a given good at a loss and that loss is subsidized by the industry via charging supra-competitive prices in another industry—thereby subsidizing one consumer group at the expense of another (Posner, 1971).

A final critical dimension of the theory of economic regulation has to do with the union of public interest rhetoric with capture theory incentives. As noted, both Peltzman (1976) and Becker (1983) recognize that public interests can still enter into the regulatory process, even though they may often fail to succeed. Public interests also need not enter exclusively in their own right. Yandle (1983) recognized that industries seeking regulation will often adopt the rhetoric of public interest. Attempts to secure protectionist regulation, thus disguised, will be particularly effective and the regulation generated by these attempts will be particularly hard to eliminate. When regulation can be represented to the public as a beneficent attempt to protect consumers, politicians can worry even less about significant opposition from the group bearing the costs—which may or may not be the same as the group the politicians claim to protect. Yandle refers to this phenomenon as “bootleggers and baptists” (Yandle, 2022).

Much like Stigler and Friedland (1962), Jordan (1972), Djankov et al. (2002), and Faccio (2006), we find evidence consistent with the above-described theory of economic regulation. Comparatively more compact groups tend to be more successful at coordinating lobbying for favorable regulation than comparatively less compact groups. We find evidence of this in the hotel industry’s ability to effectively lobby for LL18 and Airbnb and other home-sharing network hosts comparative inability to do so (Section 3). Such groups also tend to enjoy large gains from the protective regulation they secure. We find evidence consistent with this which we explore in our results (Section 6).

3. The hotel industry vs. Airbnb

In addition to disrupting the hospitality industry by offering travelers unique accommodations and individuals new opportunities to monetize their properties, Airbnb is also actively engaged in the political process. While often commended for its corporate responsibility initiatives, such as the Open Homes program, Airbnb is frequently credited as being one of the advancers of a political strategy known as “platform-sponsored grassroots lobbying” (Yates, 2021). Unlike conventional lobbying efforts, which often rely on direct engagement with lawmakers and regulators, platform-sponsored grassroots lobbying leverages a platform’s user base and broader community networks to mobilize and amplify support for its policy agenda (Yates, 2021).

A central element of platform-sponsored grassroots lobbying is the use of digital platforms and social media to rally support and disseminate messaging. Airbnb has developed online advocacy tools and resources to empower hosts and users to engage with policymakers, sign petitions, and participate in grassroots campaigns. These digital platforms serve as a hub for organizing and mobilizing supporters, with the goal of allowing Airbnb to scale its efforts at the local, state, and federal levels to secure favorable market conditions for short-term rentals (Yates, 2021). The company often frames its lobbying efforts around public interests such as promoting innovation and entrepreneurship, economic opportunity, cultural exchange, and affordable travel options for consumers.

On top of platform-sponsored activities, Airbnb also directly engages in the policy making process. According to OpenSecrets.org, Airbnb, its political action committee, and its employees have spent nearly \$10 million on lobbying and direct contributions to federal candidates, parties, and other organizations since its inception in 2008. Airbnb’s political engagement has also been robust at the state and local levels, with direction contributions in the State of New York totaling more than \$2.5 million.⁸ According to the New York State Commission on Lobbying and Ethics in Government, Airbnb has also retained more than a dozen lobbyists since 2019.⁹

Being among the most highly regulated housing markets in the US (Gyourko et al., 2021) and one of the most visited destinations in the world, the relationship between New York City, Airbnb, and other short-term rental platforms has been filled with strong rhetoric and regulatory and legal challenges for years. In 2013, for instance, the New York Attorney General subpoenaed user records from Airbnb to investigate the legality of short-term rentals in the city. Airbnb challenged the subpoena before ultimately providing anonymous host information to the Attorney General’s Office. The Attorney General’s final report, issued in October 2014, asserted that more than 70% of the city’s Airbnb rentals violated one or more state or local laws (Schniederman, 2014). It also noted that, between 2010 and June 2014, Airbnb listings generated hundreds of millions of dollars for hosts and led to more than \$33 million in unpaid hotel occupancy room taxes for the City (Schniederman, 2014).

Shortly thereafter, the Hotel Association of New York City (HANYC), the industry’s oldest and largest trade group in New York City, publicly released a consultant’s report claiming that Airbnb was responsible for more than \$2 billion in lodging market losses in the city between August 2014 and September 2015 (HVS Consulting & Valuation, 2015). Over this same period, HVS Consulting & Valuation (2015) claims that Airbnb booked almost 480,000 reservations in the City, totaling more than 2.8 million room nights and \$450 million in direct expenditures. With those figures projected to grow over time, the hotel industry began to mobilize politically.¹⁰

As noted in Section 2, a central insight from the theory of economic regulation is that the more compact group will be better positioned to overcome the collective action problems associated with lobbying and therefore be more likely to obtain favorable regulations via the political process. As one might expect, the number of Airbnb hosts in New York City far eclipses the number of hotels. Based on data from Inside Airbnb, more than 100,000 unique hosts have listed rentals on their platform since 2010, which is roughly 75 times the number of hotels in the City.¹¹

⁸ Source: OpenSecrets.org state site: <https://www.followthemoney.org/> (accessed: 6/3/2024).

⁹ Data available from: <https://reports.ethics.ny.gov/publicquery/> (accessed: 6/3/2024).

¹⁰ According to Hospitality Net, the Hotel Association of New York City represents approximately 300 hotels (accessed: 3/25/2025).

¹¹ Inside Airbnb scrapes listing data from Airbnb and makes it freely available for selected locations, including New York City. Its data can be accessed at <https://insideairbnb.com/get-the-data>.

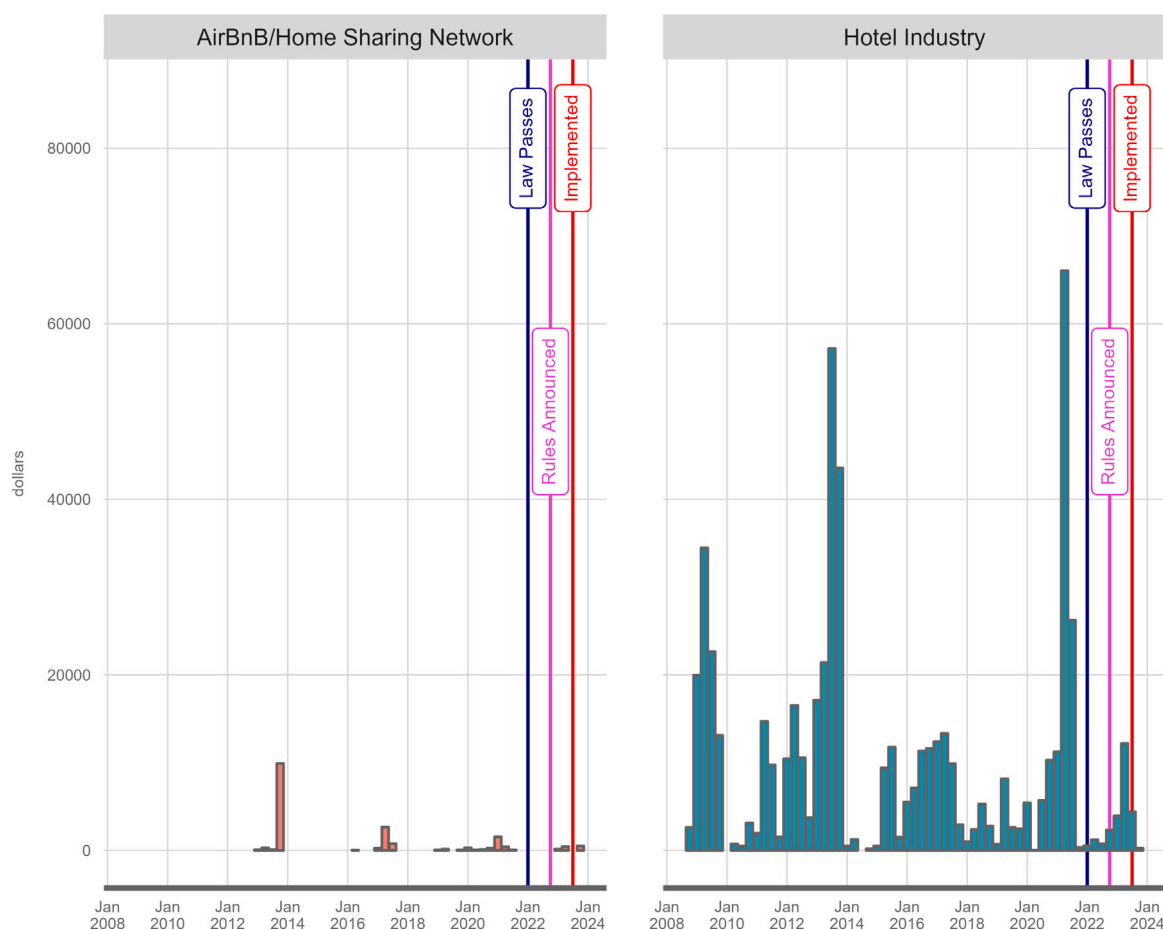


Fig. 1. Political contribution comparison: New York city.

Notes: This figure shows the aggregate campaign contributions to all candidates, parties, and organizations in New York city from the Airbnb/Home Sharing Network and Hotel Industries. Contributions are in dollars. The timeline for major changes in Local Law 18, which *defacto* banned short-term rentals in the city, is shown in each panel. Raw data are from the New York City Campaign Finance Board (<https://www.nycclb.info/FTMSearch/Home/FTMSearch>).

While there are many avenues for groups to advance their interests and mold public opinion in their favor, there is evidence that direct political contributions may provide donors with greater access to policymakers and, potentially, a more favorable policy environment (Powell and Grimmer, 2016). It is also reasonable to assume that contributions may proxy for a group's ability to overcome collective action problems: a more unified group may be more politically engaged, all else equal.

Fig. 1 shows aggregate quarterly political contributions in dollars to all candidates and offices in New York City by the Airbnb/Home Sharing Network (left panel) and the hotel industry (right panel). It is immediately evident that the hotel industry is a much larger player in New York City politics than Airbnb. Since its inception in 2008 until 2023:Q4, the Airbnb/Home Sharing Network has contributed just over \$18,000, compared to almost \$600,000 for the hotel industry.

The timing of contributions is also interesting. For instance, more than 50% of all Airbnb/Home Sharing Network contributions occurred in the fourth quarter of 2013, the same quarter as the New York Attorney General's initial subpoena request. The hotel industry, perhaps coincidentally, contributed more than \$100,000 to New York City candidates and organizations in the third and fourth quarters of the same year. This amount represents the largest six-month contribution over any six-month period between 2008 and 2023.

The involvement of the hotel industry's largest trade group, the Hotel Association of New York City, in LL18's passage is clearly documented, as the organization specifically identifies LL18 among its successful legislative advocacy initiatives. According to HANYC, "As a result of HANYC's efforts with its lobbying team, its coordinated push with an affordable housing coalition and former Council Member Ben Kallos and the City Council's legislative team, Local Law 18 of 2022 was passed". HANYC spearheaded the lobbying push, as is evidenced by the fact that "HANYC was the only city organization that testified in the hearings leading up to the law's enactment". Furthermore, HANYC's website makes it clear that it was heavily involved with the rulemaking process after the ordinance was passed: "Currently, as the Adams Administration prepares for the upcoming rulemaking process to implement Local Law 18 of 2022, HANYC is working on engaging the Adams Administration and City Council to ensure that this law is effectively implemented and not weakened by Airbnb and/or other related stakeholders" (Hotel Association of New York City, 2024).

Table 1
Descriptive statistics.

	New York city			Control cities		
	Mean	SD	Median	Mean	SD	Median
<i>Panel A. Period from 2021–2025</i>						
Average Daily Rate	245.65	55.31	240.68	167.25	46.64	161.95
Room Nights Rented	3,867,849	535,722	4,089,588	1,606,365	830,382	1,328,786
Revenue	973,318,266	318,501,919	1,015,326,428	271,033,522	164,606,613	232,170,816
N	44			1056		
<i>Panel B. Period from 1987–2025</i>						
Average Daily Rate	181.11	555.16	175.93	106.73	42.28	97.96
Room Nights Rented	2,800,495	870,087	2,594,186	1,200,515	723,489	971,208
Revenue	546,022,265	311,443,689	469,384,316	138,350,367	115,930,683	102,151,687
N	458			10,992		

Notes: This table reports the mean, standard deviation, and median of each of our outcome variables separately for New York City and control cities. The upper section of the table uses the period from July 2021 (when NYC lifted its lockdowns) to February 2025. The lower section of the table uses the full sample period of April 1987 to February 2025 when data are available from STR.

Both panels in Fig. 1 highlight important periods in the passage, review, and implementation of LL18. Unlike their subpoena response in 2013, there is no noticeable increase in political contributions from the Airbnb/Home Sharing Network in any quarter around key dates for LL18. In contrast, however, the hotel industry was highly politically active before and during this period. For example, contributions in 2021—the year before LL18 was passed—totaled more than \$100,000, the second-largest annual contributions from the industry in the past 16 years (behind only 2013). While we are not asserting that industry contribution amounts or timing had a causal effect on the passage of LL18, the contribution behavior of both industries does appear to be consistent with capture theory (Peltzman, 2022).

As a result of the restrictions on short-term rentals, visitors to NYC should have fewer alternatives to staying in traditional hotels. This decrease in available substitutes should increase the demand for hotel stays therefore leading to increases in price and/or quantity (depending on the elasticity of supply) as well as total revenue accruing to hotels. We now turn to testing these predictions in the remainder of the paper.

4. Data

The data for this project are obtained from STR, a subsidiary of CoStar which compiles and disseminates information on hotel markets in the U.S. and some other countries. STR generates reports on the top 25 U.S. lodging markets, which include Atlanta, Boston, Chicago, Dallas, Denver, Detroit, Houston, Las Vegas, Los Angeles, Miami, Minneapolis, Nashville, New Orleans, New York, Oahu Island, Orange County CA, Orlando, Philadelphia, Phoenix, Saint Louis, San Diego, San Francisco/San Mateo CA, Seattle, Tampa, and Washington DC. We use these markets as the sample for our analysis. Thus, our analysis compares New York to the other 24 markets included in STR's set of the top 25 hotel markets.

STR's hotel market indicators include the average daily room rate (ADR), the number of rooms rented, and the total hotel revenue generated from room rentals. Our analysis uses monthly values of these metrics over two time periods: April 1987 to February 2025, the maximum available in STR's data, and a post-Covid lockdown period of July 2021 to February 2025.

Descriptive statistics for both time periods are reported in Table 1. In both the longer period and the shorter post-Covid time period, New York City's hotel market has a higher mean and median number of rooms rented than the control cities. New York City's hotels are also considerably more expensive than hotels in the control cities. Consequently, New York City's hotels take in at least 3.5 times as much revenue, depending on whether one is comparing mean or median and over which time period, than control cities' hotels.

5. Empirical strategy

We first implement a traditional difference-in-differences analysis to estimate the effects of the short-term rental ban in New York City on the Average Daily Rates, Room Nights, and Hotel Revenue. This approach uses ordinary least squares regression with city and month fixed effects where all time periods and units are equally weighted. As a reminder, New York City is our treated unit and the untreated cities are the other 24 cities included in STR's set of the 25 largest hotel markets in the U.S. We also perform an analysis where we exclude six cities with similar regulations to New York City.¹² For the difference-in-differences approach, we follow the specification:

$$Y_{it} = \gamma_i + \sigma_t + \beta_1 * [Ban]_{it} + e_{it}, \quad (1)$$

¹² These regulations, while similar in some respects, are markedly different in that none to our knowledge punish the platform itself for processing “illegal” transactions. More information on these cities and their restrictions is available in Table 8.

Table 2

Simple difference-in-differences estimate - average daily room rates.

	Pre-treatment	Post-treatment	Difference (Pre/Post)	DiD
<i>New York City</i>	225.32	275.02	49.70	38.22
<i>Control Group</i>	162.55	174.03	11.48	

Notes: This table compares the average daily rates between pre- and post-treatment periods and New York City and control cities. We use the entire pre-treatment period (for the 2021–2025 sample) of July 2021 to August 2023 to calculate the pre-treatment means.

Table 3

Effects of short-term rental ban on average daily room rates.

	DID (1)	SDID (2)
<i>Period from 2021–2025</i>		
ATT	38.22***	14.43***
Standard Error	(7.50)	(5.48)
N	1100	1100
<i>Period from 1987–2025</i>		
ATT	27.70	13.64**
Standard Error	(23.94)	(6.21)
N	11,450	11,450

Notes: The mean ADR over the twelve months prior to treatment in NYC was \$250.15. Significance levels are reported as *** = $p < 0.01$, ** = $p < 0.05$, * = $p < 0.1$.

where i indexes the city and t indexes the month-year. Y_{it} represents Average Daily Rate, Room Nights, or total Hotel Revenue. $[Ban]$ indicates if a city has been affected by the short-term ban (in our case, only New York City) at a given time. Thus, it equals one if a city is treated and the month is equal to or after September 2023. It equals zero otherwise. γ_i represents a vector of city-level fixed effects and σ_t represents a vector of month-year fixed effects. e_{it} represents the error term.

NYC, however, is the largest city in the United States and is unique in many different ways that are likely to relate to tourism and the hotel industry. Thus, an average of other cities in the country (nearly all much smaller than NYC) may not provide an ideal control group. This is particularly true for Room Nights, where the traditional difference-in-differences estimator performs poorly in adjusting for pre-trend differences between NYC and the control cities. For these reasons, we report traditional difference-in-differences estimates, but rely primarily on a synthetic difference-in-differences approach that reweights the control group to yield more precise counterfactual hotel outcomes for NYC.

The synthetic difference-in-differences (SDID) approach integrates aspects of both difference-in-differences and synthetic control techniques. Arkhangelsky et al. (2021) suggest that the synthetic difference-in-differences estimator offers superior robustness compared to traditional difference-in-differences and synthetic control estimators. The synthetic difference-in-differences estimator remains unaffected by additive shifts at the unit level, similar to the difference-in-differences approach. Furthermore, it adjusts and aligns pre-treatment trends, thereby reducing dependence on assumptions related to parallel trends, akin to the synthetic control approach. However, in contrast to the synthetic control method, which matches based on levels, the SDID estimator focuses on trend matching. This enhances its ability to identify a weighted average of control units that mirror the pre-treatment trends of the treated city. Consequently, we identify a group of control cities not impacted by the Airbnb ban or other major short-term rental regulations, whose average outcome closely matches that of New York City prior to the implementation of the short-term rental ban. We perform inference using standard errors derived from the “placebo” method outlined in Section 5 of Arkhangelsky et al. (2021). See Arkhangelsky et al. (2021) for additional information on the estimation and analysis of the synthetic difference-in-differences method. In all of our models, we estimate the effects using both a comprehensive dataset dating back to April 1987 and a more recent subset starting from July 2021, the month in which New York City’s COVID-19 lockdown was officially lifted.

6. Results

6.1. Average daily rates

Before turning to the estimation models, Table 2 presents a simple comparison of the average daily rate for New York City and the control group cities. New York City’s ADR increases nearly \$50 following the implementation of LL18 while the control cities see an increase of only \$11.48 in the post-treatment period. Hence, ADR increased \$38 more in New York City in the post-treatment period than in the comparison cities using a simple naive difference-in-differences calculation.

Table 3 reports the results from four estimators of the average treatment effect on the treated unit. Column 1 details estimators for both the short and full sample using traditional difference-in-differences with two-way fixed effects, while Column 2 reports results from synthetic difference-in-differences for the same sample periods. We include both methodologies for completeness but emphasize the synthetic difference-in-differences estimator as providing an unbiased estimate due to the superior parallel trends achieved by our synthetic control group.

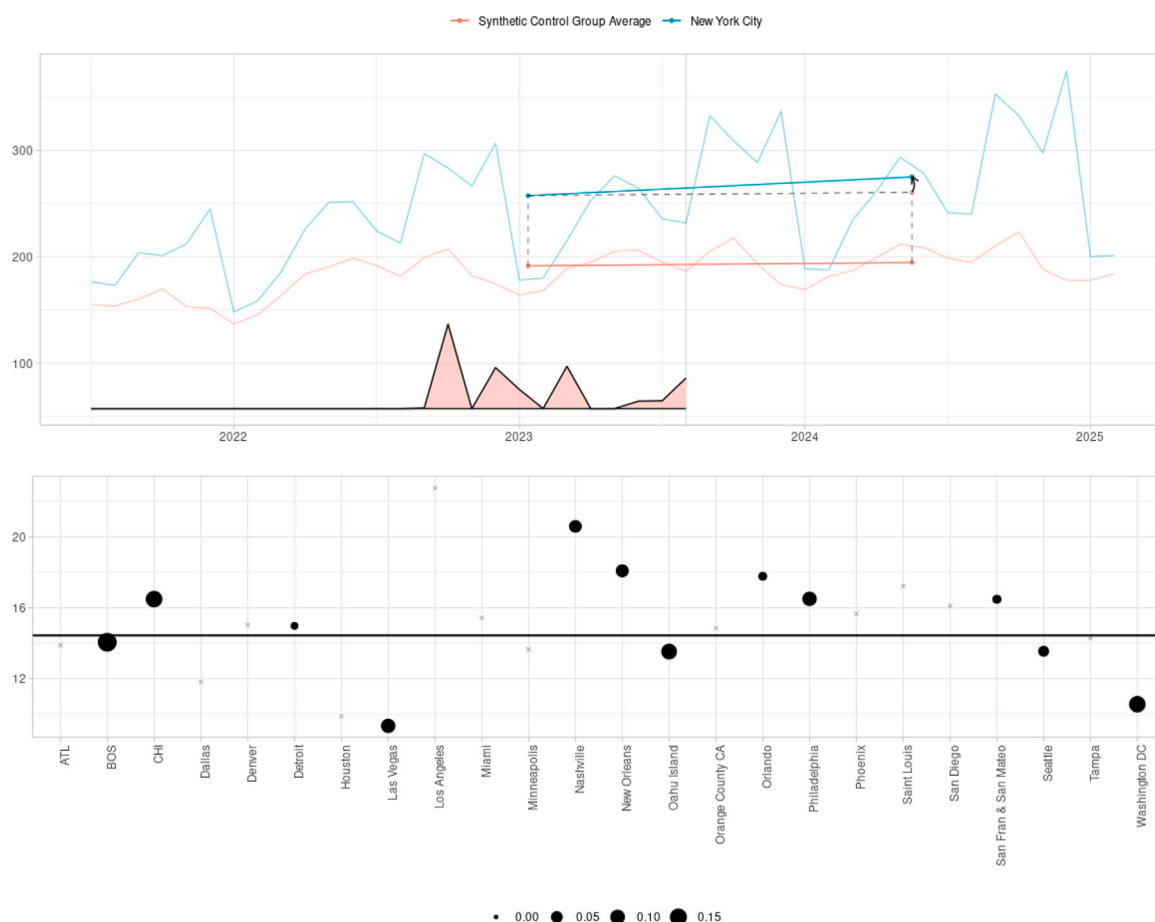


Fig. 2. Average daily rate - SDID - short sample.

Notes: This figure depicts the average daily rate for hotel rooms over time for both New York City and the Synthetic Control Group. The weight each control city contributed to the synthetic control is displayed in the “units plot” beneath the difference-in-differences line chart. The pre-treatment difference is depicted with the vertical dotted line on the leftmost end of the blue and red straight lines in the figure. The post-treatment difference is depicted on the rightmost end. The arrow on the rightmost end is the estimate of the difference-in-differences, the treatment effect. (For interpretation of the references to color in this figure legend, the reader is referred to the web version of this article.)

The synthetic difference-in-differences estimator yields statistically significant and consistent results, with nearly identical estimates of around \$14 for both the short and full sample. This indicates that the ban’s causal effect on average daily rates was an increase of approximately \$14. Considering a pre-intervention mean of approximately \$250 over the 12 months prior to the ban, this represents a 5.6% increase in the average price of renting a hotel room in New York City. Fig. 2 depicts the synthetic difference-in-differences for the shorter sample while Appendix Figure A.1 illustrates the difference-in-differences with two-way fixed effects for the shorter sample.

6.2. Room nights

As with the average daily rate results, we begin with a simple diff-in-diff comparison in Table 4. This comparison shows that monthly room nights increased by 354,479 in New York City (almost 10%) following the short-term rental ban relative to an average increase of 51,141 room nights (or 3.2%) in the control cities.

Table 5 reports the results from four different estimators of the average treatment effect on the treated unit. Unlike average daily rates, the traditional and synthetic difference-in-differences estimates vary noticeably. The synthetic difference-in-differences estimates indicate a modest, but statistically insignificant increase in room nights after the short-term rental ban equal to roughly 1%. In contrast, traditional difference-in-differences estimates reveal large and statistically significant increases in room rentals for both time periods. In the longer sample, the traditional difference-in-differences effect is implausibly large at nearly one-third of mean room night rentals. This discrepancy is due to the poor pre-treatment fit for the traditional estimator relative to the synthetic estimator, providing justification for the synthetic strategy.

Table 4
Simple difference-in-differences estimate - room nights.

	Pre-treatment	Post-treatment	Difference (Pre/Post)	DiD
<i>New York City</i>	3,722,835	4,077,314	354,479	302,938
<i>Control Group</i>	1,585,280	1,636,821	51,541	

Notes: This table compares the average quantity of hotel rooms rented pre- and post-treatment periods in New York City and control cities. We use the entire pre-treatment period (for the 2021–2025 sample) of July 2021 to August 2023 to calculate the pre-treatment means.

Table 5
Effects of short-term rental ban on hotel room nights.

	DID (1)	SDID (2)
<i>Period from 2021–2025</i>		
Average Effect	302,939***	36,086
Standard Error	(60,288)	(42,036)
N	1100	1100
<i>Period from 1987–2025</i>		
Average Effect	874,898***	59,082
Standard Error	(300,623)	(46,845)
N	11,450	11,450

Notes: Significance levels are reported as *** = $p < 0.01$, ** = $p < 0.05$, * = $p < 0.1$.

Table 6
Simple difference-in-differences - revenue.

	Pre-treatment	Post-treatment	Difference (Pre/Post)	DiD
<i>New York City</i>	858,782,934	1,138,758,190	279,975,256	250,642,135
<i>Control Group</i>	259,033,609	288,366,730	29,333,121	

Notes: This table compares the total monthly revenue between pre- and post-treatment periods in New York City and control cities. We use the entire pre-treatment period (for the 2021–2025 sample) of July 2021 to August 2023 to calculate the pre-treatment means.

It is not surprising to find a modest, but insignificant increase in rooms nights following the ban because New York hotels were already operating at a high capacity relative to comparison cities. For instance, over the pretreatment period of the short sample (July 2021 to August 2023), NYC's occupancy rate averaged 0.717 while the control cities average of 0.658 was nearly six percentage points lower. Over the 12 months immediately preceding the ban, NYC's occupancy rate had increased further to 0.763. Given these high rates, it is not surprising that an increase in demand following the ban would manifest itself in large price (ADR) increases, as shown in the previous section, and negligible increases in room rentals.

The short sample synthetic difference-in-difference estimates and the traditional difference-in-differences estimates are depicted in Figs. 3 and A.2, respectively.

6.3. Revenue

As with the preceding hotel market indicators, Table 6 presents a simple diff-in-diff comparison for total hotel industry revenue. In the post-treatment period, New York City hotels average about \$280 million more in monthly revenue than in the pre-treatment period. By contrast, the increase in monthly revenue for the average control group city is \$29 million from the pre- to post-treatment period. Thus, the average monthly revenue for New York City hotels increases by \$251 million more than for control cities.

The findings for monthly hotel revenue are detailed in Table 7. This table mirrors Table 3, where our traditional difference-in-differences estimator does not meet the parallel trends assumption and also lacks consistency. In contrast, our synthetic difference-in-differences model achieves parallel trends and provides consistent point estimates.

We observe a statistically significant effect at the 1% level in both sample periods, with an average increase of approximately \$119–129 million in additional (aggregate) revenue per month following the short-term rental ban. Given a pre-treatment average revenue of about \$1014.7 million, this represents a roughly 12% rise in monthly hotel revenue for NYC hotels.

Consistent with the other hotel outcomes, Fig. 4 depicts the synthetic difference-in-differences for the shorter sample, while Appendix Figure A.3 shows the traditional difference-in-differences with two-way fixed effects for the shorter sample.

6.4. Alternative specifications

6.4.1. Excluding cities with short-term rental regulations

As a robustness check, we exclude cities that had short-term rental regulations similar to New York City. Specifically, we exclude cities that had annual caps for how many days a unit could be rented out as a short-term rental, that imposed city-wide caps on



Fig. 3. Room nights - SDID - short sample.

Notes: This figure depicts the monthly room nights rented over time for both New York City and the Synthetic Control Group. The weight each control city contributed to the synthetic control is displayed in the “units plot” beneath the difference-in-differences line chart. The pre-treatment difference is depicted with the vertical dotted line on the leftmost end of the blue and red straight lines in the figure. The post-treatment difference is depicted on the rightmost end. The arrow (which is very small due to a near-zero estimate) on the rightmost end is the estimate of the difference-in-differences, the treatment effect. (For interpretation of the references to color in this figure legend, the reader is referred to the web version of this article.)

Table 7
Effects of short-term rental ban on hotel revenue.

	DID (1)	SDID (2)
<i>Period from 2021–2025</i>		
Average Effect	250,642,134***	129,349,699***
Standard Error	(33,660,409)	(20,202,375)
N	1100	1100
<i>Period from 1987–2025</i>		
Average Effect	460,830,816***	118,706,675***
Standard Error	(118,223,121)	(22,107,381)
N	11,450	11,450

Notes: The mean revenue over the twelve months prior to treatment in NYC was \$1,014,666,308. Significance levels are reported as *** = $p < 0.01$, ** = $p < 0.05$, * = $p < 0.1$.

the number of short-term rentals, that required the host to live at the rental short-term rental property, or that banned short-term rentals within residential areas or townships. Table 8 presents these six cities. It is worth noting, however, that all of these cities imposed their restrictions before 2020, so our short sample results should not be contaminated by changing regulations in control group cities. There are other smaller cities with similar regulations to these six cities, but they are not present in our dataset because they are not among the 25 largest hotel markets as defined by STR.

Unlike these other cities with Airbnb or short-term rental restrictions, NYC under LL18 imposes fines for “illegal short-term rentals” on the actual short-term rental platforms themselves—not just the hosts. This incentivizes Airbnb other home-sharing platforms to cooperate with NYC in keeping units that do not meet NYC’s strict criteria off the market. Hence, NYC’s regulations have the biggest “bite” of any in the US to date. While none of these cities’ regulations are as draconian as those in NYC, we run these additional specifications in order to avoid any concern that we might be using treated units as part of our control group.

As can be seen from Table 9, our general findings do not change under this specification. We continue to find that average daily rates and (aggregate) revenue increase significantly in New York City relative to the comparison cities after the short-term rental ban. Room nights also increase, but the point estimate remains too imprecisely estimated to conclude that it differs from zero.

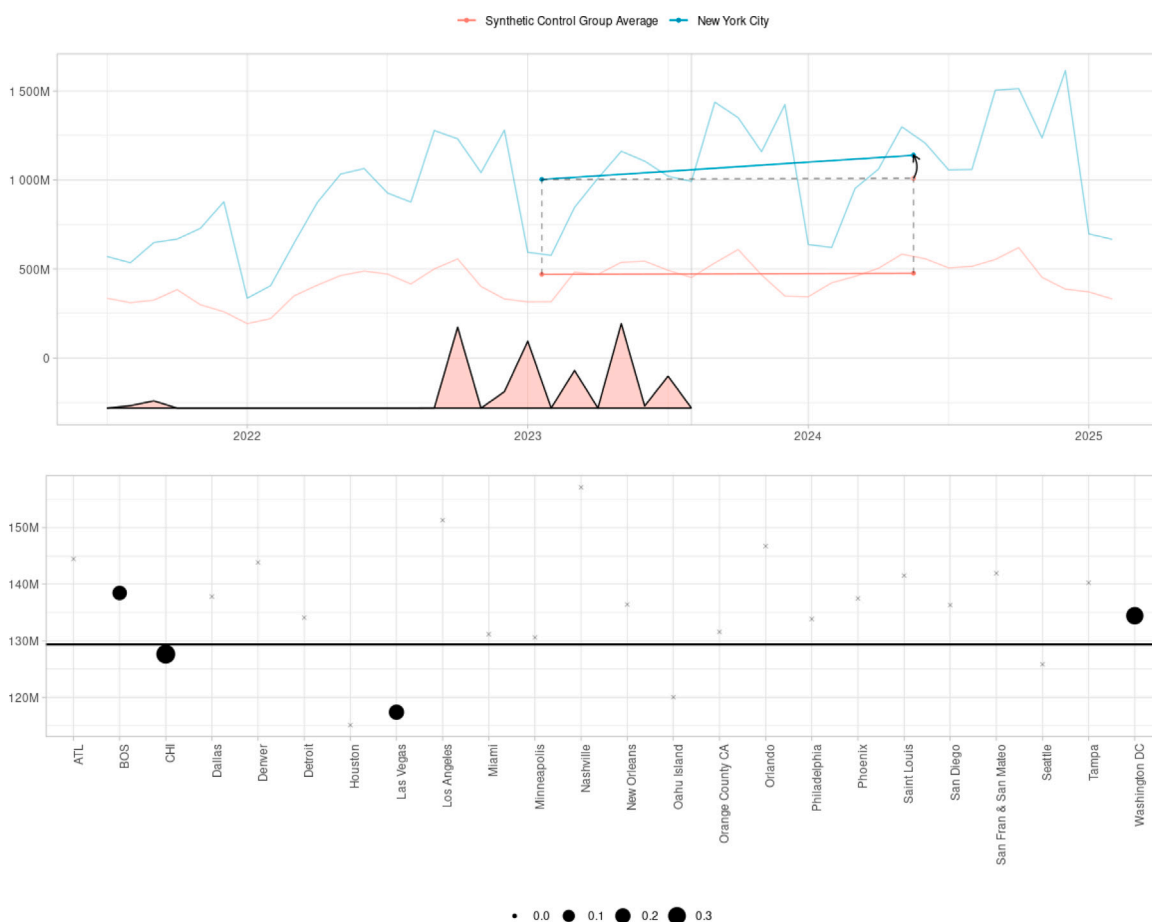


Fig. 4. Hotel revenue - SDID - short sample.

Notes: This figure depicts the monthly hotel revenue over time for both New York City and the Synthetic Control Group. The weight each control city contributed to the synthetic control is displayed in the “units plot” beneath the difference-in-differences line chart. The pre-treatment difference is depicted with the vertical dotted line on the leftmost end of the blue and red straight lines in the figure. The post-treatment difference is depicted on the rightmost end. The arrow on the rightmost end is the estimate of the difference-in-differences, the treatment effect. (For interpretation of the references to color in this figure legend, the reader is referred to the web version of this article.)

Table 8

Excluded cities.

City	Reason for exclusion
Chicago, IL	There is a 90-day annual limit on short-term rentals and hosts must register and pay a fee.
Los Angeles, CA	There is a 120-day annual limit on short-term rentals in “unincorporated areas” of the county and hosts must register and pay a fee.
Miami, FL	There is a 180-day annual limit on short-term rentals and hosts must register and pay a fee.
New Orleans, LA	There is a 90-day limit on short-term rentals in “the French Quarter” and hosts must register and pay a fee.
San Francisco, CA	There is a 75-day annual limit on short-term (i.e. “vacation”) rentals.
Seattle, WA	There is a 60-day annual limit on short-term rentals and hosts must register and pay a fee.

Notes: Among the largest 25 hotel markets defined by STR, we also re-estimated our regressions excluding cities that imposed annual caps, that implemented caps on the total number of short-term rentals, that required owners to live on the premises of the short-term rental, and/or that banned short-term rentals in residential areas. Regulatory information from Caravitis (2024). All of these local ordinances were passed prior to 2020.

It is worthwhile to note that the (short sample) point estimates for all of New York’s hotel outcomes are noticeably larger when Chicago, Los Angeles, Miami, New Orleans, Seattle, and San Francisco are omitted from the control group. For instance, the estimates

Table 9
Effects of short-term rental ban excluding regulated cities (Period from 2021–2025).

	DID (1)	SDID (2)
<i>Average Daily Prices</i>		
Average Effect	37.39***	18.87***
Standard Error	(9.19)	(4.38)
<i>Room nights rented</i>		
Average Effect	305,688***	62,144
Standard Error	(77,131)	(39,916)
<i>Revenue</i>		
Average Effect	248,317,949***	163,154,347***
Standard Error	(37,908,596)	(20,748,134)
N	836	836

Notes: These regressions are based on the short sample period (January 2001 to February 2025) and exclude the following cities from the control group: Chicago, Los Angeles, Miami, New Orleans, Seattle, and San Francisco. Significance levels are reported as *** = $p < 0.01$, ** = $p < 0.05$, * = $p < 0.1$.

in Table 9 indicate the average daily rates increased about 30% more than baseline (Table 3), room nights increased about 70% more than the baseline (Table 5), and revenue increased approximately 26% more than the baseline (Table 7).

Appendix figures A.4, A.5, and A.6 illustrate the synthetic difference-in-differences estimates for average daily rates, room nights, and revenue, respectively.

6.4.2. Demeaning to control for seasonality

Although the traditional and synthetic difference-in-differences regressions account for characteristics unique to specific months (e.g., July 2021, August 2021, September 2021), in this section we further explore the sensitivity of our estimates to seasonal factors, which may play an important role in explaining visitor patterns to New York and other cities. For instance, New York City often sees a significant drop in demand every January, a trend less pronounced in other cities.

Given that our short sample period (July 2021 to February 2025) falls well short of the recommended number of observations to rely on conventional seasonal adjustment techniques (US Bureau of Labor Statistics, 2018), we adjust for city-specific seasonal trends by demeaning the data around city-months before running estimating the difference-in-differences regressions.¹³ As an example, revenue in New York City in September of 2022 would be measured as the difference from the average September for New York City, October of 2022 would be measured as the average difference from the average October for New York City, and so on for all city by month-year observations.¹⁴

Table 10 presents our findings for the shorter sample after adjusting for city-month-specific effects. Similar to the baseline estimates and those excluding selected cities, we continue to find evidence that average daily rates and hotel revenue increased significantly in New York following the short-term rental ban. We also find weak evidence (at the 10% level) in this specification that the increase in room nights significantly differs from zero. Figures A.7, A.8, and A.9 in the Appendix depict the synthetic difference-in-differences for this set of results.

7. Conclusion

The economic theory of regulation predicts that more concentrated interests will be more effective in influencing government regulation than more dispersed interests. In this paper, we show that New York City's hotel industry is more concentrated than its short-term rental industry. We also show that the New York hotel industry made more than \$30 of political contributions for every dollar contributed by the short-term rental industry. Moreover, we show surges in hotel industry contributions in close temporal proximity to the consideration of potentially important regulatory changes.

We then turn to consider how LL18, a law characterized as a *de facto* ban on short-term rentals in New York City, led to large gains for the city's hotel industry. Using multiple time periods and multiple estimation techniques, our results show LL18 led to a \$14 to 19 increase in average daily room rates (depending on specification) and more than \$118 to 163 million per month in hotel industry revenue. Robustness checks that exclude some control cities that also have short-term rental regulations or use an alternate approach to control for hotel market seasonality yield similar conclusions. That NYC's short-term rental regulations create a large

¹³ Modern seasonal adjustment methods, such as the U.S. Census Bureau's X-13, rely on between 6 and 10 years worth of data to generate precise seasonally adjusted estimates. See US Bureau of Labor Statistics (2018) for more details. Our short sample consists of 44 monthly observations per city.

¹⁴ We also estimated several additional specifications that were very similar to the estimates reported in the paper. These additional estimates have been omitted to maintain brevity. They include: (i) estimating the specifications with log-transformed outcomes, (ii) restricting the sample to start in January 2003 because of concerns about September 11, 2001, and (iii) including separate post-COVID indicator variables for New York City between March 2020–July 2021, March 2020–December 2021, and March 2020–March 2022 to allow for a differential COVID-19 response and recovery.

Table 10
Effects of short-term rental ban with demeaned outcomes (Period from 2021–2025).

	DID (1)	SDID (2)
<i>Average Daily Prices</i>		
Average Effect	32.77***	13.96***
Standard Error	(7.79)	(4.09)
<i>Room Nights Rented</i>		
Average Effect	329,611***	90,620*
Standard Error	(73,490)	(46,685)
<i>Revenue</i>		
Average Effect	236,045,494***	101,950,103***
Standard Error	(37,163,860)	(9,690,725)
N	1100	1100

Notes: Significance levels are reported as *** = $p < 0.01$, ** = $p < 0.05$, * = $p < 0.1$. Demeaned results are demeaned by city-month to remove seasonality in our shorter sample.

windfall for the city's hotels means hotel industries in other cities will likely seek to have policymakers enact similar competitive restrictions.

The literature on short-term rental regulations, thus far, has focused exclusively on the stated goal of these policies: reducing rents (Duso et al., 2024; Koster et al., 2021; Gonçalves et al., 2023). Our paper extends the dialogue on short-term rental regulation to encompass the regulatory demand for this regulation and the potential unintended consequences of such policies. Many cities are actively contemplating short-term rental regulation, underscoring the importance of a more comprehensive understanding of the impacts of LL18 (Pandy et al., 2023). Some cities are even contacting hotel lobbying groups about the success of LL18 and the prospect of imitating this policy (Jelski, 2024). As with many such public policies, there is a diversity of reasons for its passage. Yandle (1983) identifies that special interests may masquerade under the mantle of public interest in order to get such policies passed. Hence it is of the utmost importance to consider how such policies impact related markets. We show that the hotel industry has a powerful incentive to acquire short-term rental regulation. Such regulation enables the hotel industry to raise prices and increase revenue. The harm of this policy is not limited to former short-term rental hosts and prospective tourists, who experience elevated prices. Elevated hotel rates can have negative spillover effects on tourism-related industries. For cities whose economies are significantly driven by tourist activity, like New York City, this could be a major drawback.

CRedit authorship contribution statement

Sebastian C. Anastasi: Writing – review & editing, Writing – original draft, Visualization, Project administration, Methodology, Formal analysis, Data curation, Conceptualization. **Alexander Marsella:** Writing – review & editing, Writing – original draft, Visualization, Project administration, Methodology, Formal analysis, Data curation, Conceptualization. **Vitor Melo:** Writing – review & editing, Writing – original draft, Visualization, Project administration, Methodology, Formal analysis, Data curation, Conceptualization. **E. Frank Stephenson:** Writing – review & editing, Writing – original draft, Visualization, Project administration, Methodology, Formal analysis, Data curation, Conceptualization. **Gary A. Wagner:** Writing – review & editing, Writing – original draft, Visualization, Project administration, Methodology, Formal analysis, Data curation, Conceptualization.

Declaration of competing interest

The authors declare that they have no relevant or material financial interests that relate to the research described in this paper, “The Political Actors Behind AirBnB Bans: Evidence from New York City”.

Appendix A. Supplementary data

Supplementary material related to this article can be found online at <https://doi.org/10.1016/j.ejpoleco.2025.102725>.

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